AUSTERITY IN THE LIGHT OF CURRENT GERMAN EXPERIENCES

(A BOOK REVIEW)

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For my Georgian teachers M. Dotschwiri, G. Tschanukwadze, and G. Megrelishvili

In 2022, the Italian economics professor Clara E. Mattei published an exceptionally noteworthy book on the origins, development, and forms of austerity.[1)] Many of the positions formulated at the inception of this economic and political concept now dominate significant portions of economic policy discussions worldwide. Why is this the case, even though, as Mattei concludes, it is easy to see that austerity has repeatedly and spectacularly failed in its actual goal of stimulating economic growth? As if in defiance, austerity policies remain fashionable even today, especially when, as in Germany, public coffers are almost or completely empty, which is a constant occurrence elsewhere in the world as well. Why do the recommendations of austerity find such a receptive audience in the political arena? Mattei reveals that this "economic" theory is actually much more of a political one, and its main effects have always unfolded in the political sphere. Negative consequences for the economy were factored in from the very beginning, something one wouldn't normally expect from an economic theory.

Therefore, Mattei's thorough investigation and dissection of the emergence of this political concept and its essential content is of great value. She impressively demonstrates how austerity, despite of all its inherent economic contradictions, proved remarkably effective in politically stabilizing fundamental social conditions after the two world wars. This is despite the fact that, from the perspective of reproduction theory, it exhibits a tremendous number of economic weaknesses. Mattei thus identifies primarily non-economic effects as politically stabilizing: first, that it renaturalized the pillars of private property and the wage relationship, which had become quite vulnerable during the major wars; second, that it denied the political and economic agency of the working class; third, that it postulated the absolute priority of an overarching, unassailable economics; and fourth, that it absolutely reinforced the separation between the economic and the political.[2)]

The latter point is emphasized even further by describing the depoliticization of the economic as the actual main thrust of austerity. Depoliticization here means the enforcement of the position that production relations are under the absolute command of impersonal market forces (i.e., a higher authority), that economic decisions are exempt from democratic control, and that 'independent' economic institutions are established which are only bound by the rules of higher economic wisdom, which can only be understood and proclaimed by experts.

It is described in detail how the core tenets of this concept spread so widely in the last century that they are now hardly noticeable as parts of an independent theory. "The economics of austerity, which prescribes budget cuts and a moderation of public spending, is today largely synonymous with economic science as a whole," Mattei aptly writes.[3)] It is therefore very commendable how meticulously she has examined the history of this theoretical approach, its many branches and its devastating consequences to this day.

First, it was necessary to examine the specific conditions before, during, and after the First World War that preceded the development of the concept of austerity. An advantage of this analysis is that it can draw on the developments in two important countries of the time: Great Britain and Italy, with their similarities but also differences. It can be assumed that similar developments occurred in other countries as well, as was later demonstrated by the rapid adoption of the concept of austerity across large parts of Europe.

Not only in Italy and Great Britain had it become apparent, to the general astonishment of the economic policymakers of the time, that private capital was utterly incapable of adequately responding to the increasing demand for armaments in the early stages of the war. Mattei writes: "When Great Britain went to war, it firmly believed in what Adam Smith had described as the 'invisible hand' (of the market): relying on private enterprise and the law of supply and demand would lead to the most efficient results even during the war". But it soon became clear that this did not produce the desired result. By 1916, the failure of this policy was undeniable. Increased government demand and price hikes led to profiteering, but not to an increase in supply. While the country suffered from shortages and inflation, private companies diverted resources to more profitable business areas, such as luxury goods and exports. As Leo George Chiozza Mooney, then Parliamentary Secretary of the British Ministry of Shipping, wrote, the state only abandoned its 'doctrinaire individualism' when 'we had been brought to the brink of the abyss'.[4)]

In contemporary economic thought, private capital is considered the perfect actor in all economic matters, while the state is largely deemed incapable in this field. It is astonishing that, despite all the concrete historical experience that Mattei can substantiate, this remains largely unquestioned in modern economic theory. Perhaps, however, economists and politicians alike should take a closer look at the material she has compiled. The events of that era can certainly cast serious doubt on the long-held dictum of the superiority of private capital. In both countries, the continuation of the war demonstrably forced them to intervene rapidly, broadly, and extraordinarily massively in all economic matters.

The depth of the lingering shock, even after the war's end, caused by the **inability** of private capital to unconditionally submit to the overriding interests of the war economy, is abundantly clear from the findings of the Sankey Commission, which Mattei quotes at length. This impartial commission, established by the British government and chaired by a Supreme Court Justice, consisted of three trade union representatives and three economic experts from the British coal industry. Despite this balance of diametrically opposed interests, the commission unanimously concluded that free-market capitalism had to be condemned and overcome. Private initiative and private profit were scrutinized, thoroughly investigated, and publicly criticized.[5)]

Such observations, already evident in everyday practice, had previously led to a sudden realization that everyone in the country was capable of acting extraordinarily effectively and purposefully in economic policy matters. Contrary to all previous assumptions, the state suddenly proved to be a useful, organizing element in relation to private capital, capable of significantly increasing its productivity without diminishing its profits. The state demonstrated its ability to exercise central control over the production of an entire country, to control wages, to strictly regulate labor relations, to manage the labor shortage, and to set a binding price for labor for all, which proved extraordinarily beneficial for private capital.[6)] Suddenly, however, the workers also had a say in economic matters. They faced a directly approachable actor with considerable power, who, while also making demands, was open to negotiating counter-demands. The war-related general shortage of labor resources created, on the one hand, the need to integrate and effectively utilize the entire workforce potential in production. On the other hand, it also provided workers with leverage to enforce improvements in working conditions through state intervention, preventing excessive wear and tear on their labor. Private employers had previously resisted such improvements to working conditions, aimed at ensuring adequate reproduction, for decades. Grudgingly, they had to admit that society's labor power not only had to be utilized but also maintained in a sustainable way. In this situation, the state proved to be significantly more insightful into the complex relationship between production and reproduction than private companies. This made it considerably easier for workers to enforce demands for more tolerable working hours and fairer wages. Of course, this was primarily due to the fact that the war had led to a noticeable shift in the balance of power between private capital and labor. Mattei describes the resulting changes in working and living conditions, as well as the increased political and economic activity of the working classes, in great detail. Less frequently considered today is the fact that this also improved the productive potential of states. Both of these factors likely had an exceptionally stabilizing effect on the economy and politics, particularly when the war-related structural changes in national economies were having the most significant negative impacts on production and productivity. Today, more attention is generally paid to the manifestations of post-war economic decline and less to these stabilizing effects. This also applies to the period after World War II. There, too, the recovery was clearly based to a considerable extent on massive government intervention.

Mattei describes in great detail how, as a reaction to these improvements in working and living conditions, a policy began to emerge during the stabilization phase that sought to reverse the improvements achieved: the policy of austerity.

To the interests of capital, reproduction costs have always appeared and continue to appear as expenses that must be reduced in the interest of profit maximization. The enforcement of demands in this direction led to the development of a concept of austerity policy principles. However, the actors of the time remained completely unaware that such a one-sided view—understanding reproduction merely as a cost factor—could have negative long-term consequences for future production and productivity.

But let us first consider the development of those fundamental austerity positions that describe the essence of this economic policy construct. As the core of its intellectual framework, Mattei cites the concept of economic virtue, which Ricci, with regard to homo economicus, had described as follows: "among the tools with which man increases his level of civilization, individual abstinence is the most effective as well as the least widespread."[7)] The English Lord Chalmers had succinctly captured this at the Genoa Conference of 1920, which marked the beginning of austerity, by stating that from now on one had to "work hard, live hard, save hard." This defined the essence of this policy:

hard work and thrift—both cuts to the state budget and individual abstinence—were firmly established as the guiding principles of its policy.[8)]

It must be stated at this point that proponents of austerity assume, without further plausibility checks, that the money saved in this way is fundamentally and entirely used for only one purpose: productive investment. Global financial capital, which today chases trillions around the world daily to extract profit wherever it may be, and then disappears again if the profit is too small, simply doesn't exist in their abstraction from the real world. Modern research largely spares them the effort of having to demonstrate the extent to which saved money is actually invested productively. As Mattei rightly points out, Keynes already exposed the direct link between savings and investment as a fallacy in his "General Theory" of 1936. Nevertheless, the high priests of austerity consider the mere thesis of its existence entirely sufficient proof of all their other assumptions.

Even less thought is given to the price the overall economic system has to pay for saving: This consists, firstly, of the disruption of important macroeconomic proportions, and secondly, of the undermining of total labor productivity by undermining its adequate reproduction. The ratio between the production of the sector that produces for consumption by the population and that which serves the needs of the economy only appears freely selectable if one merely considers their intrinsic relationship superficially. But isn't it also true that the production of a certain quantity of means of production necessarily requires a certain quantity of means of consumption so that the forces capable of producing them are available? And mustn't the creation of a certain quantity of consumer goods be counterbalanced by a corresponding quantity of means of production? These proportions are easily disrupted and later very difficult to repair. The German automotive industry, with its sales woes, is currently a striking example of how serious the effects of such disproportions can be on the entire economy.

And although German politics, in its reduction of social spending, is clearly on the path of austerity principles, it is nevertheless struggling to repair the disrupted balance in this area through government subsidies for car purchases. The complaint is quickly heard that it is the population's lack of consumption, their reluctance to spend, that is jeopardizing economic growth. Isn't it astonishing, then, that the growth slowdown caused by an "unfavorable consumer climate" is lamented, but not attributed to a deliberately engineered economic imbalance? Established economists will claim that the market, through the mechanism of supply and demand, will automatically establish the correct proportions. However, cases are piling up, not only in the German automotive market, but also in the housing sector, elderly care, and the energy sector, where the market has apparently failed to regulate itself, and where, consequently, there are increasingly strong calls for government intervention.

How else can one explain the fact that Germany's real GDP, adjusted for inflation, didn't grow at all between 2019 and 2025? The Federal Statistical Office reports growth of 0.2% for the entire period. 0.2% in five years—that's a mere 0.04% per year. And this in one of Europe's strongest industrialized nations. If that isn't reason enough to seriously consider the reasons for this dismal performance, what is? Let's consider just a few examples of how the deliberate disregard for objective reproduction requirements, under the banner of neoliberalism, negatively impacted the possibilities for stabilizing or even increasing production.

The primary justification for almost all of these measures was the need to relieve the overburdened budgets of the federal, state, or local governments. Savings were made everywhere: in education, culture, healthcare, elderly care, and infrastructure. Dramatic consequences can be observed everywhere today. Of course, from a budgetary perspective, it is feasible to cut infrastructure spending. However, this quickly postpones necessary investments in expanding and improving transportation networks to such an extent that the unbuilt transport links become an obstacle to economic development. The railways have been particularly hard hit.

In some cases, funding for basic infrastructure maintenance was even cut. Of course, this is a viable option: rail networks and rolling stock don't immediately collapse if they aren't regularly renewed. The money saved there can then be used elsewhere. However, neglecting basic infrastructure maintenance will eventually backfire.

The budgets of cities and municipalities alone currently have an investment backlog of over €215 billion. However, the term "investment backlog" is merely a euphemism for the fact that for a long time, even the simple reproduction of existing infrastructure wasn't secured. The situation at Deutsche Bahn (German Rail) has become extremely critical. The punctuality rate of its trains has now fallen below 50 percent.

Currently, 18,000 construction sites alone are restricting the usability of the German rail network. In a highly complex transportation system like Germany's, this naturally results in significant economic losses across the entire economy. Although there have been considerable investments in the highway and road network in recent years, the problems with basic infrastructure maintenance have also increased significantly here. Over 16,000 German bridges are considered dilapidated and in need of repair. Given that just one bridge is enough to completely paralyze a transportation route, this is a dramatic figure. In the cultural city of Dresden, a bridge that spanned the Elbe within sight of the world-famous old town and carried large parts of the inner-city traffic collapsed in the middle of the night.

Savings were made in the education sector too. The investments in building infrastructure that were not made there alone now amount to well over €100 billion. There is regular talk of teacher shortages and a lack of apprenticeships. This could be overlooked for a while. However, only until the business sector began reporting a severe shortage of skilled workers. The lack of skilled workers is now leading to a significant loss of production and growth in Germany. The fact that many companies deliberately forwent their own training programs to save costs is having a particularly dramatic impact. The notion that these skilled workers could simply fall from the sky or be imported in sufficient numbers is now backfiring dramatically. The fact that education also deteriorates and therefore must at least be replicated has never played the role in budget discussions that it should have.

The cuts in universities and research are having a particularly dramatic impact. Every expert knows that top scientific achievements must always rest on a broad foundation of university research. The reduction in funding for this area has led to Germany steadily falling in the ranking of countries with the highest scientific performance. As a result, Germany is no longer the home of global engineering excellence. The dramatic consequences for the country's economic standing are already readily apparent in international markets.

For a long time, cuts in cultural spending seemed to pose no major economic problems. The prevailing attitude was: We can manage without culture. However, culture is an exceptionally important factor in shaping fundamental moral and ethical convictions. For years, German businesses have been complaining that the next generation increasingly lacks the skills and motivation that can be developed primarily through art and culture.

Leisure activities and amateur sports were relegated to the discretion of the already perpetually cash-strapped municipalities. There, too, a massive investment backlog has accumulated. For dilapidated sports facilities alone, it is estimated at up to €40 billion. German industry is now vehemently complaining about the lack of physical fitness among its younger generation. But this physical fitness would have had to be developed and constantly maintained. The fact that this could be a crucial factor for economic development played, and continues to play, hardly any role in the relevant decisions.

Excessively rising social spending has been and continues to be cited as a problem. Germany also faces a massive investment backlog in its healthcare system. In hospitals alone, this backlog currently exceeds €80 billion, and approximately one hundred hospitals are at risk of closure. Amidst all the debates about cost-cutting, the fact that a sufficiently healthy population is the foundation for a healthy economy has been repeatedly overlooked. Currently, there is heated discussion about the excessive number of sick days in business and public administration. However, the possibility that this might also be related to the reduction of resources needed for basic and extended healthcare provision is not being addressed.

For decades, the long-term care sector has consistently relied on extensive privatization to reduce public spending. This avoidance of essential resources for maintaining the infrastructure of municipal facilities has resulted in a situation where the standard of care has declined significantly, coupled with dramatically increased prices. The state now has to contribute considerably more than it ever saved. This list could easily be extended. Its purpose is not to illustrate all the mistakes made in Germany. Rather, it demonstrates that austerity measures worldwide can prevent us from paying attention to the complex relationships that naturally arise in a modern economy between production and reproduction, between sensible investment in essential services and societal growth. The austerity perspective on these issues is far too one-sided to support healthy societal development.

One of the dogmas of austerity, however, is now being largely disregarded: the restriction of credit. From the perspective of the architects of monetary austerity, credit was a recalcitrant, particularly unstable and sensitive phenomenon, as Mattei Hawtrey, one of the British originators of this system of thought, is quoted as saying.9) For the British Treasury at that time, credit was considered a cardinal sin because it was seen as a means of artificially expanding unhealthy consumption, thus as the exact opposite of the prescribed frugal and austere life.

Those who were involved back then would throw their hands up in horror if they knew the dramatic situation into which rampant borrowing and financial speculation have now plunged many national finances. Nobel laureate economist John Stiglitz cites a current debt burden of $38 trillion for the US alone—a number with 12 zeros. That is effectively double the annual US production. Stiglitz considers it inconceivable that debts of this magnitude can ever be repaid and wonders why the corresponding financial market crash hasn't already occurred. In Germany, too, credit packages are being diligently assembled, the repayment of which is entirely uncertain. At the end of 2025, the Bundestag approved an additional debt-backed spending package of €500 billion. This is a sum equivalent to the entire annual budget of the Federal Republic of Germany today.

The loan, however, is not considered a loan, but rather a "special fund." Linguists have chosen this term as the "unword of the year" because it suggests that debts have suddenly become assets. The European Union under Ursula von der Leyen is behaving in a similarly "generous" manner. For some time now, financial plans have been presented in Brussels that exceed the actual economic capabilities of this union of states to such an extent that it is dizzying. The architects of austerity, who demanded all the harshness of their policies solely to keep public finances and thus the money supply stable, would be horrified by the adventurousness with which these matters are now being handled. Certainly, the austerity perspective on many economic processes was far too one-sided to guarantee healthy economic development.

The austerity perspective on these matters is far too one-sided to support healthy societal development. But it was never quite as adventurous as what is happening in this area today.

NOTES:

1. Clara E. Mattei The Capital Order, The University of Chicago Press, Chicago 2022,
2. here quoted by the German issue: Die Ordnung des Kapitals, Brumaire Verlag, Berlin 2025
3. a.a.O. S. 234
4. a.a.O. S. 13
5. a.a.O. S. 52
6. a.a.O. S. 145 ff.
7. a.a.O. S. 61 f.
8. Mattei quotes here:: Ricci, Umberto, Saggi sul risparismo. Lanciano: Carabba, 1999
9. vgl.: Mattei, a.a.O. S. 248

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